

GE 523: Startup Framework: Finance, Valuation, and Structure

Course Code	GE 523
Course Name	Startup Framework: Finance, Valuation, and Structure
L-T-P-C	3-0-0-3
Intended for	UG and PG students
Approval	54th BoA (May 2024)

Course Contents

- **Structuring and Business:** Introduction to company Structures, Overview of various company structures, Explanation of legal and financial implications of each type (2 Hours)
- **Shareholding and Equity Distribution:** Understanding basics of equity, shares, and stock options, Allocating equity between co-founders, employees, and investors, Fair equity distribution and common pitfalls, Vesting Schedules and Cliff Periods, Legal protections for different stakeholders, Implications of shareholding structure on company control and decision-making (8 Hours)
- **Company Valuation & Financial Forecasting:** Introduction to Valuation Concepts, Factors Influencing Valuation, Approaches to Valuation: Income, Market, and Asset-based, Projecting Income Statements, Balance Sheets, and Cash Flows. Cash flow estimation, assumptions of cash flow estimations, and financial models specific to different industry types (12 Hours)
- **Startup Financing Strategies:** Self-financing and Bootstrapping, External Funding: Grant funding, Government Schemes, Angel Investors, Venture Capital, Crowdfunding, IPO, Private Equity, Pros and cons of each type of funding, Understanding Term Sheets and Negotiation, Discussion on various funding options and their suitability (10 Hours)
- **Exit Strategies:** Understanding and Designing Shareholder Agreements and Contracts, Key Clauses in Shareholder Agreements and their Implications, Best Practices and Common Pitfalls, Role and Significance of Promoter Shares in a Company, Exit Strategies and Liquidation Preferences, Overview of Various Exit strategies (IPOs, Mergers, and Acquisitions), Impact of exit strategies on company valuation and shareholder value (10 Hours)

Laboratory Modules

Team presentation on their ideas, Working with IIT Mandi Incubation Center, Team projects - Guidance for independent work by student team, Student teams work independently - with touchpoints with faculty via office hours, Final presentation (longer session -all teams -besides lead instructors others from IIT Mandi to be invited)

Text Books

1. Janet Kilholm Smith, Richard L. Smith, and Richard T. Bliss, **Entrepreneurial Finance: Strategy, Valuation, and Deal Structure.**
2. Brad Feld and Jason Mendelson, **Venture Deals: Be Smarter Than Your Lawyer and Venture Capitalist.**
3. Philip Adelman and Alan M. Marks, **Financial Management for Entrepreneurs.**
4. Mahendra Ramsinghani, **The Business of Venture Capital: Insights from Leading Practitioners on the Art of Raising a Fund, Deal Structuring, Value Creation, and Exit Strategies.**

References

1. NA